Chapter 14: International Trade, Comparative Advantage, and Protectionism

Principles of Microeconomics Curriculum

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Abstract

This chapter provides a rigorous, pedagogical treatment of Chapter 14: International Trade, Comparative Advantage, and Protectionism, benchmarked to standard principles curriculum.

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1 Free Trade Welfare Mechanics

Domestic prices converge to World Price P_w. If $P_w < P_d$, the nation imports, expanding consumer surplus by more than domestic producer surplus contracts.

2 Tariffs and Quotas

A tariff t raises domestic price to $P_w + t$. Consumer surplus falls by area $A + B + C + D$, producer surplus expands by A, and government tariff revenue equals $C = t \times$ Imports. Total societal deadweight loss equals $DWL = B + D$.